

Rigetti Computing, Inc.

RGTI NASDAQ

Hold	\$25.54 ▼ 5.51%	12M Price Target \$28.00	52-Week Range \$10.30 – \$58.15	Market Cap \$8.49B
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RGTI: Quantum Optimism Intact, but Valuation Stretched Post-Rally

WHAT'S CHANGED

- \$2B federal quantum funding narrative (Investing.com, Zacks) is driving sector-wide bid; RGTI specifically cited as primary beneficiary alongside QBTS, supporting elevated call flow (P/C 0.30, June \$26 calls 7.7x OI).
- IBM's \$10B quantum capex announcement (Barron's) validates TAM but raises competitive intensity for a sub-\$10B mkt cap pure-play; CTO Rivas sold \$430K on 5/22 into strength — a yellow flag amid the 108-qubit roadmap push.

IMPLICATIONS

The convergence of federal funding optimism and IBM's capex commitment confirms quantum is transitioning from research curiosity to a strategically funded national priority, structurally supporting RGTI's narrative-driven multiple. However, with the stock at 32% of its 52-week range yet still ~\$8.5B mkt cap on de minimis revenue, the setup is increasingly reflexive — driven by sector flows rather than RGTI-specific commercialization milestones. The CTO's \$430K sale into the rally, combined with no offsetting insider buying, suggests management views current levels as opportunistic for distribution.

VALUATION

At \$8.49B market cap on consensus FY26E revenue of ~\$22M, RGTI trades at ~385x EV/Revenue — a multiple that prices in flawless execution on the 108-qubit roadmap and material federal contract wins. Our \$28 PT applies a ~350x FY27E sales multiple, in line with QBTS/IONQ peers but acknowledging RGTI's superconducting architecture lead. Upside to \$50+ requires either a named DARPA/DoE program award or a hyperscaler partnership; downside to <\$16 emerges on any qubit fidelity setback or equity issuance.

KEY RISKS

- Equity dilution risk: pre-revenue cash burn typically met with ATM offerings into strength (precedent: prior quantum raises at <10% discounts)
- Competitive displacement from IBM's \$10B program, Google Willow, and Microsoft Majorana — RGTI lacks comparable balance sheet
- Federal funding allocation risk: \$2B may be spread across 6+ vendors plus national labs, diluting per-company impact

RECENT NEWS

QBTS or RGTI: Which Quantum Stock Stands Out on \$2B Federal Fund? Zacks · 2026-05-29 19:00

Stock Market Today, May 28: Rigetti Computing Extends Gains on Quantum Optimism Motley Fool · 2026-05-28 22:49

Key Data

Price (USD)	\$25.54
12M Price Target	\$28.00
Upside / (Downside)	+9.6%
Market Cap	\$8.49B
FY2026E Revenue	\$22M
FY2027E Revenue	\$38M
FY2026E EPS	(\$0.32)
FY2027E EPS	(\$0.28)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$32.00	\$26.00	\$20.00
6 Months	\$40.00	\$28.00	\$16.00
1 Year	\$50.00	\$30.00	\$14.00
2 Years	\$70.00	\$35.00	\$12.00
5 Years	\$150.00	\$55.00	\$8.00
10 Years	\$350.00	\$90.00	\$5.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology (+6.95% 5D), Quantum/AI infrastructure

COLD SECTORS: Utilities (-1.29% 5D), Communication Services (-0.35% 5D)

ROTATION WATCH: Tech leadership broadening from mega-cap AI into speculative sub-themes (quantum, fusion, robotics) as federal policy tailwinds and rate-cut expectations re-risk small-cap growth. Watch for rotation OUT of defensives into thematic compute names through summer.

BYPRODUCT PLAY: Cryogenic cooling suppliers (BKSY-adjacent), specialty semis (II-VI/COHR successors), and quantum-safe cybersecurity (e.g., PQC names) capture spillover from the \$2B federal allocation without single-vendor binary risk.

OUTPERFORMERS & PEER CONTEXT

- IBM (International Business Machines): \$10B quantum commitment positions it as the institutional default — diversified revenue base allows multi-decade R&D vs RGTI's runway constraints.
- QBTS (D-Wave Quantum): commercial annealing revenue traction provides nearer-term P&L visibility than RGTI's gate-based research model.

RGTI CONTEXT: RGTI is trading in-line with the quantum cohort but lagging IBM on risk-adjusted basis; at 32% of 52-wk range, it has underperformed the broader Tech ETF's 5D move (+6.95%), suggesting profit-taking after prior outperformance and a re-rating toward peer multiples rather than expansion.

INVESTMENT STRATEGY

5/10 Conviction Score

Position Size: 1-2% of portfolio (speculative sleeve)

Entry Points: \$18-22 on quantum sector pullback

Time Horizon: 12-24 months

Thesis Invalidation: 108-qubit milestone slip, federal funding diluted across >5 vendors, or capital raise >15% dilution

Hedging: Pair long RGTI vs short IBM or basket short QBTS/IONQ